WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

KUWAIT

Middle East

Information current as of October 2026

Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Kuwait City	Capital and commercial centre; home to the government, the Central Bank, the Kuwait Investment Authority and a growing cluster of global asset managers	Financial services, asset management, retail, professional services
Ahmadi / Mina Al-Ahmadi (south)	Heart of the oil sector, with the major Burgan oilfield, the Mina Al-Ahmadi refinery of around 450,000–466,000 barrels a day and the main crude export terminals	Oil and gas services, refining, storage, industrial maintenance
Al-Zour (south coast)	Major refining and utilities hub, where the Al-Zour North phases two and three (2.7 GW and 120 million gallons of water a day) are being delivered as a $3.27 billion PPP	Power and water, refining, petrochemicals, EPC services
Bubiyan Island / Mubarak Al-Kabeer Port (north)	Flagship port project now in implementation under a $4 billion first-phase contract, adding 2.7 million TEU a year and over 8 million TEU at full build-out	Port logistics, transport, construction, trade services
Shuwaikh Port and Kuwait Free Trade Zone	Established commercial port and adjoining free zone serving Kuwait's import-led consumer and industrial supply chains	Logistics, warehousing, distribution
Shagaya Renewable Energy Park (west)	Kuwait's principal renewable-energy site, central to plans to add generation capacity and diversify the power mix	Solar and wind, power infrastructure, engineering services

INVESTOR ENTRY ROUTES

- Kuwait Direct Investment Promotion Authority (KDIPA), licensing foreign investment under Law No. 116 of 2013 with up to 100% foreign ownership, income-tax exemptions of up to ten years, customs exemptions and access to KDIPA-allocated land
- Council of Ministers Resolution No. 651 of 2026, granting residency of up to 15 years to investors and senior executives of KDIPA-licensed companies
- Wholly owned branches of foreign companies, permitted since January 2024 without a local agent and able to bid directly for government tenders
- Kuwait Authority for Partnership Projects (KAPP), the route into power, water and infrastructure PPPs such as the $3.27 billion Al-Zour North expansion

- Central Bank of Kuwait oversight of a Kuwaiti dinar pegged to a currency basket, with profits and capital freely transferable
- Tax framework of 15% corporate income tax on foreign corporate bodies and, since January 2025, a 15% Domestic Minimum Top-up Tax for large multinational groups
- Energy-sector participation through partnerships with Kuwait Petroleum Corporation, as in the $16 billion Shaheen pipeline joint venture, since crude extraction remains reserved to the state

MARKET-ENTRY OBSERVATION

Kuwait entered 2026 from a position of exceptional financial strength and with reform momentum building. The IMF estimates GDP grew 2.6% in 2025, with non-oil activity up 2.7% and a current account surplus of 23.6% of GDP, while Moody's, affirming Kuwait's A1 rating with a stable outlook in May 2026, puts government financial assets at four to five times GDP; the Kuwait Investment Authority manages around $1 trillion. Recorded FDI inflows were a modest $412 million in 2025 (stock $17.6 billion), but 2026 has brought a step change: in July Kuwait Petroleum Corporation signed a $16 billion pipeline lease-and-leaseback with Blackstone, Brookfield and KKR, the largest foreign direct investment in Kuwait's history, and Goldman Sachs, BlackRock, Franklin Templeton and Blackstone have opened Kuwait offices. A 2025 public debt law, the 15-year investor residency scheme, direct tender access for foreign branches and the $4 billion Mubarak Al-Kabeer Port contract all point to a more open economy.

Kuwait's main structural challenge is that all of its crude exports pass through the Strait of Hormuz, which has been largely closed since the Iran war began on 28 February 2026; Iranian strikes have also hit the Mina Al-Ahmadi refinery and a power and desalination plant. GDP fell 4.6% in the first quarter, and the IMF now projects a 16.7% contraction for 2026 followed by a 17.1% rebound in 2027. Kuwait has responded from strength. Oil output has recovered from around 0.6 million barrels a day in March to about 2.0 million by September, inflation remains contained at 2.19% in July, the non-oil PMI reached 53.6 in August, and the government is financing a deficit of around 20% of GDP through bond issuance and new, capped borrowing from the Future Generations Fund, with public debt at only about 17% of GDP in June. KPC expects to restore 70% of normal output within six to eight weeks of reopening. For investors, the opportunity lies in the post-conflict rebound, Kuwait's large infrastructure and PPP pipeline, and new demand for storage, export-route resilience and power and water security.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Strait of Hormuz disruption	Kuwait has no bypass pipeline, so all crude exports depend on the Strait, where commercial transits remain far below pre-war levels in October 2026	Build reopening scenarios into planning; Kuwait's rapid restart capacity and storage abroad support a fast recovery, with the IMF projecting 17.1% growth in 2027
Regional security and conflict spillover	Kuwait has faced repeated Iranian drone and missile strikes since March 2026, including on the Mina Al-Ahmadi refinery and power and desalination facilities	Review insurance, force majeure and business-continuity arrangements; the repair and hardening of energy and utility assets is itself a growing investment area
Hydrocarbon dependence	The hydrocarbon sector generated about 45% of GDP and 84% of government revenue in 2025	New Kuwait Vision 2040 targets diversification; non-oil sectors such as logistics, finance, utilities and healthcare offer exposure less linked to oil volumes
Wider fiscal deficit in 2026	The FY2026/27 deficit is projected at around 20% of GDP as oil revenue has fallen	Very large sovereign assets, low public debt and market access cushion financing; PPPs and private capital, as in the Shaheen deal, are gaining importance
Bureaucracy and reform implementation	Investors have historically cited slow, complex procedures, and Moody's notes institutional challenges have held back past reforms	Use KDIPA licensing and its online portal; recent decrees on debt, residency and foreign branches show faster reform delivery
Sector and land restrictions	Crude extraction, most real estate and several other activities are on KDIPA's negative list, and foreigners cannot own land	Use KDIPA-allocated land and partnership models with KPC and KAPP, which are opening midstream, utilities and infrastructure to private capital
Tax treatment of foreign-owned	Foreign corporate bodies pay 15%	Seek KDIPA tax exemptions of up to ten

Issue	Potential Impact	Possible Mitigation
companies	corporate income tax, and a 15% minimum top-up tax applies to large multinationals from 2025	years and take specialist advice on structuring; the IMF recommends extending corporate tax to domestic firms, levelling the field

INVESTOR RISK NOTE

Kuwait's risk profile combines one of the strongest sovereign balance sheets in the world with a temporary but significant external shock. Government financial assets of four to five times GDP, public debt of only about 17% of GDP, a stable A1 rating from Moody's and low inflation give Kuwait the capacity to finance the 2026 deficit without disruption to spending. The principal risk is geographic: with no pipeline bypassing the Strait of Hormuz, oil exports and growth depend on the Strait reopening, and the IMF and World Bank both now assume a 2026 contraction followed by a strong rebound in 2027. Iranian strikes on energy and utility sites since March add a security dimension that investors should address through insurance, contractual protections and continuity planning. Against this, Kuwait has kept its non-oil economy growing, attracted its largest-ever foreign investment during the conflict and accelerated reforms, positioning investors who engage now to benefit from the recovery.

MARKET ACCESS

Kuwait is a member of the Gulf Cooperation Council customs union, a founding member of OPEC and a WTO member since 1995, and its exports are dominated by crude oil and refined products sold mainly to Asian markets. The UK–GCC free trade agreement, concluded in May 2026 and awaiting ratification, will remove tariffs on around 93% of current UK exports to the Gulf and includes investment protection and services commitments. Seaborne trade runs through Shuwaikh and Shuaiba ports and the oil terminals at Mina Al-Ahmadi, while land borders with Saudi Arabia and Iraq provide overland supply routes. The Mubarak Al-Kabeer Port on Bubiyan Island is designed to strengthen Kuwait's role as a northern Gulf trade gateway as regional shipping normalises.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Amiri Diwan (HH Sheikh Mishal Al-Ahmad Al-Jaber Al-Sabah) and the Council of Ministers	Set national strategy under New Kuwait Vision 2040 and have driven recent reforms by decree, including the debt law and investor residency	Primary reference point for Kuwait's strategic and reform direction
Kuwait Direct Investment Promotion Authority (KDIPA)	Licenses foreign investors and grants tax, customs, land and residency benefits	Standard first point of contact for market entry and incentives
Central Bank of Kuwait	Monetary authority managing the dinar's basket peg; held its discount rate at 3.50% in September 2026	Relevant for banking, currency and financial-sector matters
Kuwait Investment Authority (KIA)	Sovereign wealth fund of around $1 trillion, manager of the Future Generations Fund and a major global co-investor	Key relationship for co-investment and for asset managers seeking Kuwaiti capital
Kuwait Petroleum Corporation (KPC) and Kuwait Oil Company	State energy group targeting 4 million barrels a day by 2035 and opening assets to private capital through deals such as Shaheen	Essential partner for energy, midstream and oilfield-services investment
Kuwait Authority for Partnership Projects (KAPP)	Structures and tenders PPPs in power, water and infrastructure	Main channel for infrastructure and utilities investors
Ministry of Finance	Leads the budget, debt issuance under the 2025 debt law and fiscal reform	Relevant for government contracting, tax policy and sovereign financing

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Kuwait Chamber of Commerce and Industry is the principal channel for engagement with Kuwait's established family business groups and private sector, while KDIPA runs regular investor seminars and maintains an online licensing portal. The arrival of Goldman Sachs, BlackRock, Franklin Templeton and Blackstone has created a growing community of international financial firms in Kuwait City, and the KPC and KAPP tender programmes are central meeting points for energy and infrastructure investors. The UK–GCC free trade agreement and the British Embassy's trade and investment team support British companies, and Gulf co-investors such as ACWA Power and the Gulf Investment Corporation, already partners in Al-Zour North, illustrate the role of regional capital in Kuwaiti projects.

INVESTOR PROFILE BEST SUITED

Kuwait suits investors who value a very strong sovereign counterparty and can take a medium-term view through the current regional disruption: infrastructure and utilities investors targeting KAPP power, water and renewable PPPs; private-equity and infrastructure funds seeking further KPC partnership opportunities following the Shaheen deal; asset managers and financial-services firms building relationships with the KIA and Kuwait's wealthy private sector; and logistics, engineering and construction firms positioned around Mubarak Al-Kabeer Port and post-conflict repair and resilience works. Oil-linked investors benefit from vast low-cost reserves and should build Strait of Hormuz reopening scenarios into project planning.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage KDIPA on licensing and incentives
Open dialogue with KDIPA to confirm eligibility for 100% ownership, tax and customs exemptions, allocated land and the 15-year investor residency.

STEP 2: Map the KAPP and KPC project pipelines
Identify upcoming power, water, renewable and midstream opportunities, using Al-Zour North and the Shaheen joint venture as reference models.

STEP 3: Build Hormuz and security scenarios into planning
Model reopening timelines, review insurance and force majeure provisions, and plan for the strong rebound projected for 2027.

STEP 4: Build relationships with the KIA and the local private sector
Engage the sovereign wealth fund and leading family groups through the Kuwait Chamber of Commerce and Industry for co-investment and local partnerships.

STEP 5: Position early for logistics and resilience opportunities
Track Mubarak Al-Kabeer Port, storage and utility-hardening projects, where demand is set to grow as regional trade normalises.